

STATE OF NORTH CAROLINA
COUNTY OF NEW HANOVER

IN THE GENERAL COURT OF JUSTICE
SUPERIOR COURT DIVISION

HENRY G. WINTERS and IRIS L.
WINTERS, Trustees of the Henry G.
Winters and Iris L. Winters Revocable
Living Trust Dated January 13, 2005; SCOTT
A. HILLMAN and wife, BETH ANN
HILLMAN; ECHO FARMS RESIDENTS
ASSOCIATION, INC.; ELIZABETH C. VINAL;
PHILIP CHRYST and wife, DEANNE
CHRYST; and KENNETH J. WOLFE, JR. and
wife, JILL S. WOLFE,
Plaintiffs

vs.

ECHO FARMS, LLC,
Defendant.

VERIFIED COMPLAINT,
MOTION FOR TEMPORARY,
PRELIMINARY AND
PERMANENT INJUNCTION

NOW COME Plaintiffs, Henry G. Winters and Iris L. Winters, Trustees of the Henry G. Winters and Iris L. Winters Revocable Living Trust dated January 13, 2005, Scott A. Hillman and wife, Beth Ann Hillman, Elizabeth C. Vinal, Philip Chryst and wife, Deanne Chryst, Kenneth J. Wolfe, Jr. and wife, Jill S. Wolfe; and Echo Farms Residents Association, Inc., complaining of the Defendant, Echo Farms, LLC, and say and allege as follows:

1. Plaintiffs, Henry G. Winters and Iris L. Winters, Trustees of the Henry G. Winters and Iris L. Winters Revocable Living Trust dated January 13, 2005 ("Trust") are the Trustees of the Henry G. Winters and Iris L. Winters Revocable Living Trust dated January 13, 2005. The Trust is the owner of Lot 33, Map No. 1, Echo Farms Subdivision.

2. Plaintiffs, Scott A. Hillman and wife, Beth Ann Hillman, are citizens and residents of New Hanover County, North Carolina. The Hillmans are the owners of Lot 51, Section 2 of the Echo Farms Subdivision.

3. Plaintiff, Elizabeth C. Vinal, is a citizen and resident of New Hanover County, North Carolina and the owner of Lot 12 as the same is shown on a map of Revision, Echo Farm Townhouses, Section II, which is recorded in the New Hanover County, North Carolina Registry in Map Book 24, at Page 17.

4. Plaintiffs, Philip Chryst and wife, Deanne Chryst, are citizens and residents of New Hanover County, North Carolina and the owners of Lot 129 as shown on Map No. 4 of Echo Farms Subdivision.

5. Plaintiffs, Kenneth J. Wolfe, Jr. and wife, Jill S. Wolfe, are citizens and residents of New Hanover County, North Carolina and the owners of Lot 160, Echo Farms, as shown on that Map recorded in Map Book 16 at Page 13 in the New Hanover County Registry. Kenneth J. Wolfe, Jr. and wife, Jill S. Wolfe are members of the Echo Farms Golf and Country Club.

6. Plaintiff Echo Farm Residents Association, Inc. ("EFRA") is a North Carolina non-profit corporation organized and existing pursuant to the laws of North Carolina. EFRA is an organization of home owners that live primarily around Appleton Way in the Echo Farms Subdivision.

7. Plaintiffs are informed and believe that Defendant, Echo Farms, LLC ("Defendant"), is a Limited Liability Company organized and existing pursuant to the laws of the State of New Jersey. Echo Farms is the owner of the golf course in the Echo Farms Subdivision by virtue of the Deed recorded in Book 2307, at Page 0467 of the New Hanover County Public Registry.

8. This court has jurisdiction over the subject matter of this action pursuant to N.C. Gen. Stat. §§ 7A-240 and 7A-243.

9. This Court has personal jurisdiction over the Defendant in this action pursuant to N.C. Gen. Stat. §1-75.4.

10. Venue is proper in this County by virtue of N.C. Gen. Stat. §§ 1-79 and 1-82.

11. All conditions precedent to the filing and maintaining of this action have occurred, have been performed or have been met. As lot owners and/or members of the golf club, the individual Plaintiffs have standing to bring the claims asserted in this lawsuit in that they are members of the golf club or lot owners in the Echo Farms Subdivision who purchased lots in the Echo Farms Golf Course community in reliance upon the Golf Course being a part of the subdivision and/or that no longer have the opportunity to purchase a golf club membership as required by the restrictive covenants governing the golf course.

FACTUAL ALLEGATIONS

12. Plaintiffs are informed and believe that at some point during the early 1970's an entity known as Echo Farms Joint Venture ("EFJV") undertook the development of the subdivision known as Echo Farms in New Hanover County, North Carolina.

13. On April 9, 1973, EFJV conveyed to Echo Farms Golf and Country Club, Inc. by Warranty Deed recorded in Book 969 at Page 285 of the New Hanover County Public Registry ("Deed"), approximately 120 acres for the specific purpose of operation as a golf course ("Golf Course" or "Property"). A copy of the deed is attached hereto as Exhibit A and incorporated herein by reference. A deed of Correction was recorded in Book 1007 at Page 278 of the New Hanover County Registry on June 17, 1974. A copy of the Correction Deed is attached as Exhibit B and incorporated herein by reference.

14. Echo Farms Golf and Country Club, Inc. conveyed the Golf Course to Suggs & Harrelson, Inc. via Deed recorded November 1, 1984 in Book 1270 at Page 726 of the New Hanover County Public

Registry and via Quit Claim Deed recorded November 1, 1984 recorded in Book 1270 at Page 732 of the New Hanover County Public Registry.

15. Suggs and Harrelson, Inc. conveyed the Golf Course via Deed recorded April 4, 1985 in Book 1283 at Page 1660 of the New Hanover County Public Registry to Echo Farms Recreational Facilities, Inc.

16. Echo Farms Recreational Facilities, Inc. conveyed the Golf Course to New Echo Farms, Inc. by Deed recorded on November 11, 1988 in Book 1435 at Page 984 of the New Hanover County Public Registry.

17. Defendant purchased the Golf Course in January 1998. The Deed conveying the Golf Course from New Echo Farms, Inc. to Defendant was recorded in Book 2307 at page 467 of the New Hanover County registry. A copy of the Deed is attached as Exhibit C and incorporated herein by reference.

18. Since the early 1970's the Property has been operated continuously as a golf course for the benefit of the lot owners and members of the Echo Farms Golf and Country Club.

19. Plaintiffs are informed and believe that an entity known as Echo Farms Golf and Country Club and/or Matrix Golf & Hospitality manages the operations of the golf course on behalf of Defendant.

20. Plaintiffs are informed and believe that on or about November 15, 2016, Matrix Golf and Hospitality (the entity tasked with operating Echo Farms Golf and Country Club ("Club") on behalf of Defendant) sent a letter to the Club's members indicating that all memberships would be terminated effective December 31, 2016. A copy of the November 15, 2016 letter is attached as Exhibit D and incorporated herein by reference.

21. On December 2, 2016, Defendant submitted a Subdivision Plan and Application for Major Preliminary Plan Approval ("Site Plan") indicating an intent to develop the Golf Course into single family and multi-family and apartment residences and destroying the Golf Course.

22. Plaintiffs are informed and believe that Defendant has no intention of maintaining the Golf Course and as stated in the *Star News* article dated December 7, 2016, intends to break ground on its proposed development in 2017. A copy of the article is attached as Exhibit E.

23. The Deed contained various restrictive covenants restricting the use of the Property to a golf course (the "Restrictive Covenants").

24. In pertinent part, the Deed containing the Restrictive Covenants states:

It is understood and agreed that the property [Golf Course] conveyed by the party of the first part shall [EFJV] be subject to the following restrictions, covenants and conditions, which shall be binding on party of the second part, whether one or more persons, firms or corporations, its successors and assigns:

b. The property shall be used for the purpose of operating and maintaining a golf course and other necessary and related recreational facilities for the benefit of the purchasers of lots from party of the first part (EFJV), their guests and others provided that said purchasers become and remain members in good standing of said golf club and have met all of the membership requirements therefor.

...

25. The Property was conveyed subject to certain conditions and restrictions contained in an Agreement between EFJV and the Echo Farms Golf and Country Club, Inc. attached to the Deed (Agreement). The Agreement states that:

“... in the development of said land, in order to enhance the value of said lots which are to be sold, and in order to provide recreational facilities for persons who purchase said lots, such as a golf course, pro shop and other related activities, party of the first part has set aside approximately 120 acres of land as shown on the attached Exhibit “A” [description of golf course property] to be used for golf course, practice fairway, putting green and other facilities, which said facilities are necessary in order to make the lots to be developed by the party of the first part saleable. . .”.

26. The parties (EFJV and Echo Farms Golf and Country Club, Inc.) agreed that the Property conveyed subject to restrictions, covenants and conditions and that the conditions would be binding upon Echo Farms Golf and Country Club, Inc. its successors and assigns.

27. The primary restriction, among others contained in the Agreement, is and was that the Property:

“... shall be used for the purpose of operating and maintaining a golf course and other necessary and related recreational facilities for the benefit of the purchasers of lots from party of the first part (EFJV), their guests and others, provided that said purchasers become and remain members in good standing of said golf club. No commercial activity shall ever be conducted on said premises other than a golf shop . . .”

The Agreement is binding upon EFJV and Echo Farms Golf and Country Club, Inc. and their successors.

28. Plaintiffs and Defendants, as successors to the original parties to the Deed and the Property conveyed by the Deed are subject to the Restrictive Covenants set forth in the Deed and Plaintiffs are able to enforce said Restrictive Covenants and said Restrictive Covenants run with the land.

29. Defendant's unilateral action or attempt to terminate memberships in the Club have, or will, disenfranchise and deprive Plaintiffs as members of the Club or lot owners in the subdivision from

any opportunity to act as a member of the Club and access the Golf Course in violation of the Restrictive Covenants.

30. Defendant's actions constitute an attempt by Defendant to purge the membership of the Club in an attempt to circumvent the Restrictive Covenants in direct violation of the Restrictive Covenants.

31. In addition, all of the lots in the Echo Farms subdivision were sold pursuant to a general plan of development by EFJV such that said Restrictive Covenants may be enforced by successors to EFJV.

32. The unilateral termination of Golf Club memberships and clear indication of an intent to terminate and cease operation of the Golf Club by filing of the Site Plan by Defendant is a clear violation of the Restrictive Covenants set forth in the Deed. The Restrictive Covenants require the golf course to be operated as a golf course in order to "enhance the value of said lots which are to be sold . . . and in order to make the lots to be developed by the party of the first part (EFJV) saleable."

FIRST CLAIM FOR RELIEF (Breach of Contract)

33. Plaintiffs reallege and incorporate by reference all prior allegations contained herein.

34. The Restrictive Covenants in the Deed were and are valid and legally binding upon Defendant and Plaintiffs as successors to EFJV.

35. Defendant has evidenced a clear intent to cease operations of the Golf Course and develop the Golf Course with single family units, multifamily units and apartments in violation of the Restrictive Covenants contained in the Deed as alleged herein.

36. The cessation of the operation of the Golf Course, unilateral termination of Club memberships and any commercial development of the property constitutes a breach of the Restrictive Covenants.

37. Plaintiffs' damages are unique and the redress cannot be remedied by monetary damages. As a result of Defendant's conduct, Plaintiffs are entitled to the remedy of specific performance, and the Court should enter a decree compelling Defendant to specifically perform in accordance with the Restrictive Covenants contained in the Deed by continuing to operate the Golf Course and provide golf memberships as required by the Restrictive Covenants.

SECOND CLAIM FOR RELIEF (Declaratory Judgment)

38. Plaintiffs reallege and incorporate by reference all prior allegations contained herein.

39. This claim by Plaintiffs is one for a Declaratory Judgment under the Uniform Declaratory Judgment Act, N.C. Gen. State. § 1-253 et seq., which has been in effect at all times relevant hereto.

40. There is an ongoing, actual, justiciable controversy between the parties hereto regarding the rights and obligations of the parties pursuant to the Deed in that Defendant has evidenced an intent to cease operations of a golf course and undertake commercial activity on the Property in violation of the Restrictive Covenants as previously set forth herein this complaint.

41. In particular, the Restrictive Covenants require that the Property be operated as a golf course and that no commercial activity take place on the Property.

42. By reason of the foregoing, Plaintiffs are entitled to a judicial declaration that: The Deed requires that the Property be operated as a golf course for the benefit of the lot owners in Echo Farms and that no commercial activity shall be conducted on the premises and that said Restrictive Covenants are applicable to the Golf Course and in full force and effect and that Defendant and the Property is bound by said Restrictive Covenants.

THIRD CLAIM FOR RELIEF

(Motion for Temporary Restraining Order, Motion for Preliminary and Permanent Injunctive Relief)

43. Plaintiffs reallege and incorporate by reference all prior allegations contained herein.

44. Plaintiffs will suffer irreparable harm if the Defendant is allowed to develop the Golf Course in violation of the Restrictive Covenants on the property. Plaintiffs' property value will decrease, the scheme of development of Echo Farms will be destroyed and monetary damages cannot compensate for the damage to Plaintiffs.

45. Plaintiffs have evidenced a likelihood of success on the merits of their claims as shown by the allegations set forth in this Verified Complaint.

46. In order to prevent irreparable harm described above and preserve the status quo, this court should enter a temporary restraining order requiring Defendants to cease all activities associated with the development of the golf course.

47. Defendant's actions entitle Plaintiffs to preliminary and permanent injunctive relief requiring Defendant to comply with the Restrictive Covenants contained in the Deed requiring Defendant to operate the property as a golf course.

48. Without the injunctive relief sought herein, Defendant's unlawful conduct described above will result in irreparable harm to Plaintiffs by:

- a. Causing an incalculable loss of value to the Plaintiffs' property in Echo Farms;
- b. Defendant's disregard of the Restrictive Covenants forever frustrates and destroys the scheme of development for the subdivision; and

c. The Plaintiffs will continue to suffer immediate and irreparable injury, loss and damage to which the Plaintiffs should not be required to submit, or the Defendant should not be permitted to inflict, which will greatly injure the beauty and attractiveness of the subdivision, and which is and will be a continuing wrong for which the Plaintiffs have no reasonable redress that can be had in a court of law, and the injury, loss, or damage, will result in irreparable injury if not stopped and corrected.

49. The Plaintiffs are likely to prevail on the merits.

50. This Court has jurisdiction over the parties and the power to preserve the status quo and the rights of Plaintiffs and to enter a preliminary and permanent injunction. Plaintiffs thus move, pursuant to the provisions of Rule 65 of the North Carolina Rules of Civil Procedure and N.C. Gen. Stat. § 1-485, et seq., for a preliminary injunction pending resolution of this action, decreeing as follows:

a. Defendant immediately cease all activity associated with the development of the Echo Farms Golf Course; and

b. That Defendant continue to operate the Golf Course in accordance with the Restrictive Covenants contained in the Deed.

51. For the reasons set forth herein, Plaintiffs are entitled to a permanent mandatory and/or prohibitory injunction from the Court in the form of a final Judgment decreeing that:

a. Defendant shall operate the property as a golf course in accordance with the Restrictive Covenants in the Deed and that no commercial activity shall be conducted on the Property; and

b. Defendant shall otherwise act in accordance with the terms of the Deed.

WHEREFORE, Plaintiffs pray the Court as follows:

1. That the Court enter Judgment ordering Defendant to specifically perform its obligations pursuant to the Deed;

2. That the Court enter its declaration setting out the rights and obligations of the parties as requested herein;

3. That the Court enter a Temporary Restraining order and set this matter on for hearing at which time Defendants must show cause, if any they have, as to why a preliminary injunction should not be issued pending the final determination of this cause;

4. That the Court enter a permanent injunction against Defendant as described above;

5. That Plaintiffs have and recover their costs in this action, including attorney's fees as allowed by law;

6. That Plaintiffs have and recover such other and further relief as they may be entitled to under the facts and applicable law; and

7. A trial by jury is demanded on all issues so triable.

This the _____ day of December, 2017.

HENRY G. WINTERS AND IRIS L. WINTERS, TRUSTEES OF
THE HENRY G. WINTERS AND IRIS L. WINTERS
REVOCABLE LIVING TRUST DATED JANUARY 13, 2005;
SCOTT A. HILL, BETH ANN HILLMAN, ELIZABETH C.
VINAL, PHILIP CHRYST AND WIFE, DEANNE CHRYST,
KENNETH J. WOLFE, JR. AND WIFE, JILL S. WOLFE, AND
ECHO FARMS RESIDENTS ASSOCIATION,
By and through their Attorneys,
MARSHALL WILLIAMS & GORHAM. LLP

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